



TRADEVADA

THE TRADER'S PLAYBOOK

Trade with a system, not a hunch.

The complete starter guide to trading the wheel, managing risk like a professional, and turning every position into data that makes you sharper.

RISK MANAGEMENT

THE WHEEL

PLAYBOOKS

JOURNALING

Your welcome guide

For day, swing & options traders

tradevada.com

You just made the best trade of the week

Not a stock — a decision. You decided to stop guessing and start treating your trading like the serious endeavor it is. That single shift is what separates the traders who are still here in five years from the ones who aren't.

This is the playbook we hand every new member. It won't give you hot tickers or promise returns — nobody honest can. What it *will* do is hand you the operating system professionals run on: how to define an edge, size a position so one bad trade can't sink you, execute without emotion, and review your results so every trade — win or lose — makes the next one better.

READ ONCE, THEN KEEP IT OPEN

Every section maps to something you can do inside Tradevada today — most of it on the **free plan**. Work through it start to finish, then keep it beside your journal as a reference.

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Trader, not gambler

The difference isn't intelligence or capital. It's whether you run on a repeatable process or on emotion in the moment.

A gambler enters because something *feels* right, sizes by gut, and exits when fear or greed takes the wheel. A trader enters on a defined setup, sizes by a rule, and exits at a level decided **before** the trade was ever placed. Same market. Completely different outcomes over a hundred trades.

The four habits that compound

- 1 Plan every trade before you click**
Entry, exit, stop, and size — decided in advance. If you can't define all four, you don't have a trade. You have a hope.
- 2 Risk a fixed, small amount**
Consistent risk is what lets a real edge play out across a losing streak. Section 02 makes this concrete.
- 3 Take the exit you planned**
"It'll come back" has ended more accounts than any bad setup ever has. Honor your stop — every time.
- 4 Review honestly, on a schedule**
You can't improve what you don't measure. The weekly review (Section 06) is where the compounding actually happens.

THE ONE REFRAME THAT CHANGES EVERYTHING

Stop asking "will this trade win?" Start asking "is this a trade my plan allows, sized correctly?" You can't control any single outcome — the market decides that. You have total control over whether you followed your process. That's the only thing that compounds, and it's enough.

Risk comes first

Before profit, every professional obsesses over one thing: **not blowing up**. Protect your capital and you earn unlimited attempts to find your edge. Lose it and the game is simply over.

The 1-2% rule

Never risk more than 1-2% of your account on a single trade. “Risk” is the distance from your entry to your stop — what you lose if you’re wrong — not the total position size.

POSITION SIZE FORMULA

$$\text{Shares} = (\text{Account} \times \text{Risk}\%) \div (\text{Entry} - \text{Stop})$$

\$10,000 account, 1% risk = \$100. Entry \$50, stop \$48 (\$2 risk/share). $\$100 \div \$2 = 50$ shares. If the stop hits, you lose exactly \$100 — 1%. No emotion, no guessing.

Why small losses matter: the recovery math

Losses and gains aren’t symmetric. The deeper the hole, the disproportionately steeper the climb back to breakeven:

If you lose...	You must gain...	Reality
-10%	+11%	Annoying, recoverable
-25%	+33%	A rough month
-50%	+100%	Must double just to break even
-75%	+300%	Account effectively finished

THE TAKEAWAY

Avoiding deep losses matters more than chasing big wins. A trader who never loses more than a planned 1-2% can weather a long losing streak and still be standing when the edge pays off.

Risk/reward: only take trades worth taking

Before entering, weigh what you’re risking against what you stand to gain. Aim for at least **2x** reward versus risk — at 2:1, you can be wrong more than half the time and still come out ahead.

Your risk rulebook

Strong risk management isn't one rule — it's a short set of limits you decide once, while calm, and never renegotiate mid-trade.

Rule	A sensible starting point
Max risk per trade	1-2% of account equity
Max open risk	No more than ~6% at risk across all positions at once
Daily loss limit	Stop for the day after -3% — protects you from revenge trades
Min risk/reward	2:1 — skip anything that doesn't clear it
Position cap	No single position above your set % of the account

FOR OPTIONS TRADERS SPECIFICALLY

Risk gains extra dimensions: **time decay** (theta erodes long options daily), **implied volatility** (high IV inflates premiums — great for sellers, costly for buyers), and **assignment**. When you sell cash-secured puts or covered calls, your real risk is the cost basis of shares you may be assigned — and every premium you collect lowers it.

Read implied volatility before you trade options

HIGH IV ↑

Fat premiums. Favor **selling** options — CSPs, covered calls, spreads. Often elevated before earnings or major news.

LOW IV ↓

Cheap premiums. Favor **buying** options when you want directional exposure. Calmer, quieter market stretches.

IV isn't good or bad — it's a price signal. Reading it well stops you overpaying for premium and helps you sell it when it's richest. **Tradevada's analytics surface IV context and theta capture for you automatically — free.**

The wheel, mastered

Tradevada's specialty, and a favorite for income-focused traders. The wheel is mechanical, repeatable, and — not coincidentally — a perfect fit for disciplined journaling.

1

Sell a cash-secured put

On a stock you'd genuinely like to own, at a strike you'd happily pay. You collect premium up front and set aside the cash to buy if assigned.

2

Get assigned — or not

If the stock stays above your strike, the put expires worthless and you keep the premium. Repeat. If it drops below, you buy 100 shares at your strike — a price you already decided was fair.

3

Sell covered calls

Now holding shares, sell calls against them to collect more premium while you wait. Each premium further lowers your effective cost basis.

4

Shares called away → restart

If the stock rises past your call strike, your shares sell at a profit and you've collected premium the entire way. Then the cycle begins again.

THE GOLDEN RULE OF THE WHEEL

Only wheel stocks you'd be content to own for the long haul. The strategy's safety comes entirely from that choice — if you're assigned shares you actually want, a dip is an opportunity, not a disaster.

One full cycle

Here's what a single wheel cycle can look like, start to finish. Tradevada's wheel tracker stitches these legs together automatically so you always see your true position.

Step	Action	Cash flow
1	Sell put, \$50 strike, 30 days	+\$120
2	Assigned — buy 100 shares @ \$50	-\$5,000
3	Sell covered call, \$52 strike	+\$90
4	Called away @ \$52	+\$5,200
Net profit on the cycle		+\$410

PREMIUM COLLECTED

\$210

CAPITAL GAIN

\$200

RETURN ON CAPITAL

~8%

Illustrative example only. Not a prediction or guarantee of returns. Actual results depend on the stock, strikes, fees, assignment timing, and market conditions.

WHERE TRADEVADA EARNS ITS KEEP

Tracking a wheel by hand means scattered premiums and a cost basis you constantly recalculate. Tradevada's **Wheel Strategy tracker** (free) shows your open shares, raw average cost, total premium collected, and stock unrealized in one view — and Pro adds full cycle projections.

Build your playbook

A “playbook” is your edge, written down: a named, repeatable setup with clear rules for when to get in, when to get out, and how much to risk. It’s the single most valuable document a trader owns.

Inside Tradevada, a Playbook is a first-class object. Name it, define its rules, tag it, then attach it to every trade. Over time the app reveals **which of your setups actually make money** — and which to retire.

The anatomy of a playbook

[copy this](#)

Name	Short and memorable. “Pullback to 20 EMA,” “Wheel — blue chips.”
Description	One or two lines: what the setup is, and the market it works in.
Entry rules	The exact, objective conditions that must be true before you enter.
Exit rules	Both sides — where you take profit AND where you cut the loss.
Risk rules	Position size, max risk, and anything that makes you skip entirely.
Tags	Group and filter later: #swing, #earnings, #options.

MAKE THE RULES OBJECTIVE

Aim for rules a stranger could follow and reach the same call you would. “Stock looks strong” isn’t a rule. “Price above the 50-day average, pulling back to the 20-day on lighter volume” is. Objective rules are testable; feelings aren’t.

Three starter playbooks

One per trading style. These are **educational templates to adapt**, not recommendations — tune every number to your own risk tolerance and testing.

1 • Momentum Breakout

#daytrade

Idea	Catch a stock breaking out of a tight range on a surge of volume.
Entry	Consolidation breaks to a new intraday high · volume well above average.
Exit	Stop just below the breakout level. Scale out into strength; trail the rest.
Risk	Tight stops. Honor the daily loss limit — breakouts fail fast.

2 • Trend Pullback

#swing

Idea	Join an established uptrend at a lower-risk pullback entry.
Entry	Above rising 50-day · pullback to 20-day on lighter volume · reversal signal.
Exit	Stop below pullback low · target prior high · trail the rest.
Risk	1% per trade, min 2:1 reward, avoid earnings inside the window.

3 • The Wheel

#options #income

Idea	Generate income selling premium on quality stocks you'd happily own.
Entry	Sell a CSP on a stock you want · strike at a price you'd gladly pay.
Exit	Put expires (keep premium) OR assigned → covered calls → called away → repeat.
Risk	Only wheel stocks you'd hold long-term. Track cost basis — premiums lower it.

Your Tradevada toolkit

Everything you need to run trading like a business, in one place. Here's the full suite — what's free, and what Pro unlocks.



Dashboard & KPIs

FREE

Your command center: total value, cash, win rate, P&L, equity curve, and draggable widgets. Populates the moment you import a trade or upload a CSV.



Trade Journal & Ledger

FREE

A clean ledger of every position — cost basis, market value, net quantity, current price — with notes, searchable by symbol and linked to your playbooks.



Wheel Strategy Tracker

FREE

Purpose-built for the wheel: open shares, raw average cost, total premium collected, and stock unrealized — per ticker, always current. CSP and covered-call planners included.



Multi-Calendar View

FREE

Contracts grouped by expiration, a daily performance heatmap, and upcoming P&L, options, and dividend events — so nothing sneaks up on you.



Core Analytics & Equity Curve

FREE

Win rate, total trades, average win/loss, and your equity curve over time. The fundamentals that show whether you're actually improving.



Advanced Analytics & Metrics

FREE

Go deeper for free: profit factor, expectancy, Sharpe ratio, max drawdown, recovery factor, theta capture, assignment rate, win/loss streaks, and monthly ROC — your natural edge zone, quantified.

When you're ready to scale

Pro is where Tradevada goes from journal to edge. Everything in Free, plus automation and the deep analytics serious traders live in.



SnapTrade Broker Auto-Sync

PRO

The headline feature. Connect your broker once and trades flow in instantly, read-only — you never hand-log a fill again. Plus unlimited portfolios.



Market Pulse News Terminal

PRO

Live market intelligence in-app: news, earnings, economic events, and dividend data — filtered to the tickers you actually trade.



Pack Watch Alerts & The Hunt

PRO

Build custom alerts — assignment risk, DTE windows, premium targets, earnings on open positions — and let Tradevada watch the tape so you don't have to.



Backtesting & Trade Replay

PRO

Test a wheel strategy by delta or strike against history, see the equity curve and per-ticker breakdown, and replay positions to study what worked.



Playbooks & Strategy Leaderboard

PRO

Rank your own setups head-to-head by real performance, so you double down on what works and cut what doesn't. Exportable trade history on the yearly plan.

Journal & review

This is where average traders become good ones. Nearly every consistently profitable trader keeps a journal — because **you cannot improve what you never measure.**

Log these for every trade

- **The setup / playbook** — which of your defined strategies was this?
- **Entry, exit, stop, and size** — the hard numbers.
- **The reason** — why you took it, in one line.
- **The outcome** — result, and whether you followed your plan.
- **How you felt** — calm, fearful, greedy? Emotional patterns are where the leaks hide.

GRADE THE PROCESS, NOT JUST THE P&L

A losing trade where you followed every rule is a *good* trade. A winning trade where you broke your rules is a *dangerous* one — it teaches you that recklessness pays. Score whether you followed the plan, separately from whether it won.

The weekly review — 20 minutes

- 1 Sort by playbook**
Which setups made money this week? Which lost? In Tradevada, that's a single filter.
- 2 Find the pattern**
Were your biggest losers rule-breaks, or a setup that's simply underperforming? Different problems, different fixes.
- 3 Pick one thing to fix**
One adjustment for next week — not ten. Focused improvement is what compounds.

Start free. Scale when it pays for itself.

Tradevada is free forever for manual entry and CSV import — no card, no expiration. Upgrade to Pro only when you want trades flowing in automatically and the full analytics suite.

FREE	MOST POPULAR
\$0/forever No card required ✓ Manual entry (unlimited) ✓ CSV import, any broker ✓ Wheel-strategy tracker ✓ Core analytics & equity curve ✓ Advanced analytics & metrics ✓ Multi-calendar view ✓ 1 portfolio — Broker auto-sync — Market Pulse & alerts	PRO \$19/mo or \$190/yr — save \$38 ✓ Everything in Free, plus: ✓ SnapTrade broker auto-sync ✓ Trades sync instantly ✓ Unlimited portfolios ✓ Market Pulse news terminal ✓ Pack Watch alerts & The Hunt ✓ Backtesting & trade replay ✓ Playbooks & leaderboard ✓ Exportable history (yearly)

Your first 7 days

- Day 1 — Set up**
Upload a CSV or try the demo. Take the dashboard tour.
- Day 2 — Risk rules**
Lock in your max risk, daily loss limit, and 2:1 minimum.
- Day 3 — First playbook**
Build the one setup you know best.
- Days 4-6 — Trade it**
Only setups that match, sized by your rule. Log each one.
- Day 7 — Review**
Run the 20-minute review. Pick one thing to improve.

THAT'S THE LOOP

Plan → size → execute → log → review → refine.

THE BOTTOM LINE

“You can’t control any single trade. You can control your process — and that’s the only thing that compounds.”

Everything in this guide lives inside Tradevada — the journal, the wheel tracker, the analytics, the playbooks, and a deeper Learn library of curated tools and education. Start free, build your first playbook, and let your own data start teaching you.

GET STARTED IN 60 SECONDS

tradevada.com

Free forever · no card required · upgrade only when it pays for itself

Free resource vault

CHARTING & SCREENING

TradingView · FinViz · Barchart Options · OptionStrat

MARKETS & NEWS

MarketWatch · Yahoo Finance · Seeking Alpha

EDUCATION

Investopedia · Options Industry Council · CBOE Education · Khan Academy

COMMUNITY

r/options · r/thetagang

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